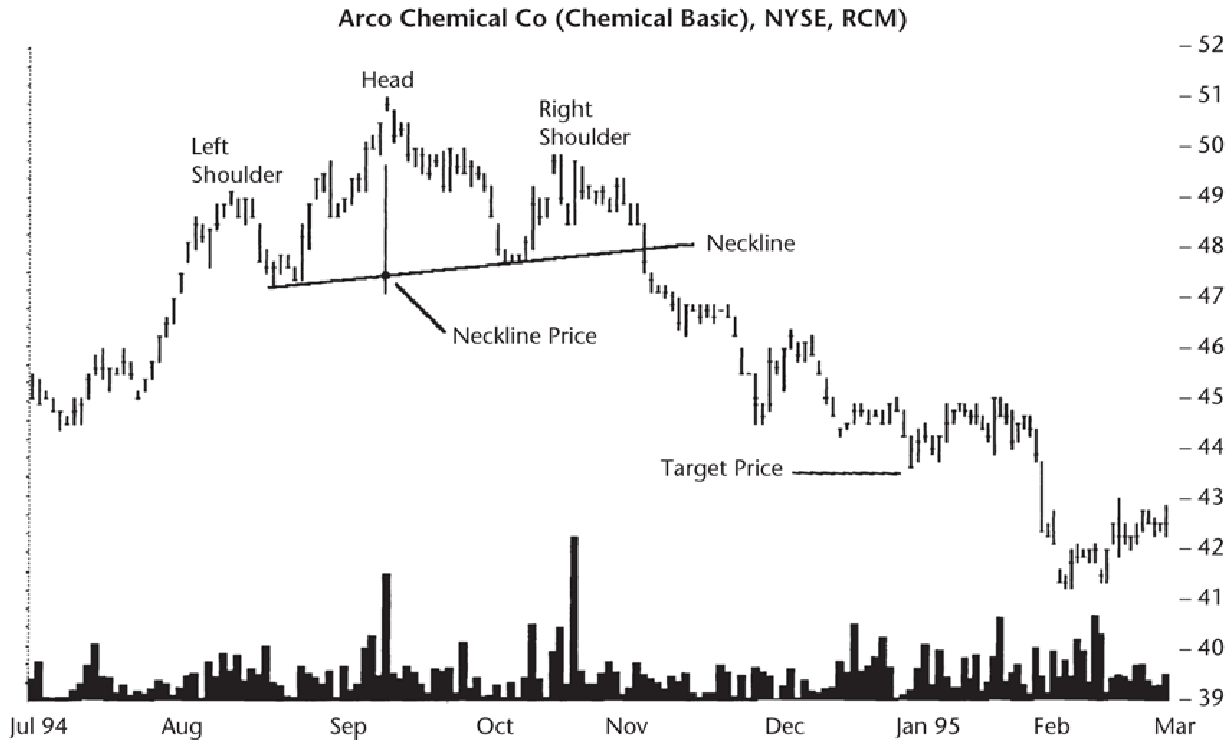

Figure 41.5 The measure rule as it applies to a head-and-shoulders top. Calculate the formation height by subtracting the neckline price from the highest high, measured vertically. Subtract the result from the breakout price. The result is the target price.

The measure rule uses the formation height as a basis for computing a target price. Use the target price as a gauge to determine how far price might drop.

Subtract the high price at the top of the head from the neckline, measuring vertically down until it intersects the neckline. The result gives the pattern's height. Subtract the height from the breakout price to get a target.

In the figure, the stock reaches a high price of 51 on 13 September. Directly below that point is the neckline price at about 47.38. The difference of 3.62 is the formation height.

The opening price the day after the breakout is 47.38 (same as in the neckline in this example), leaving a target price of 47.38-3.62 or 43.76. Price surpasses the target when it declines below the value in late December.

The bottom portion of the table shows how often various heights used in the computation work. In the above example, I used the pattern's full height.